

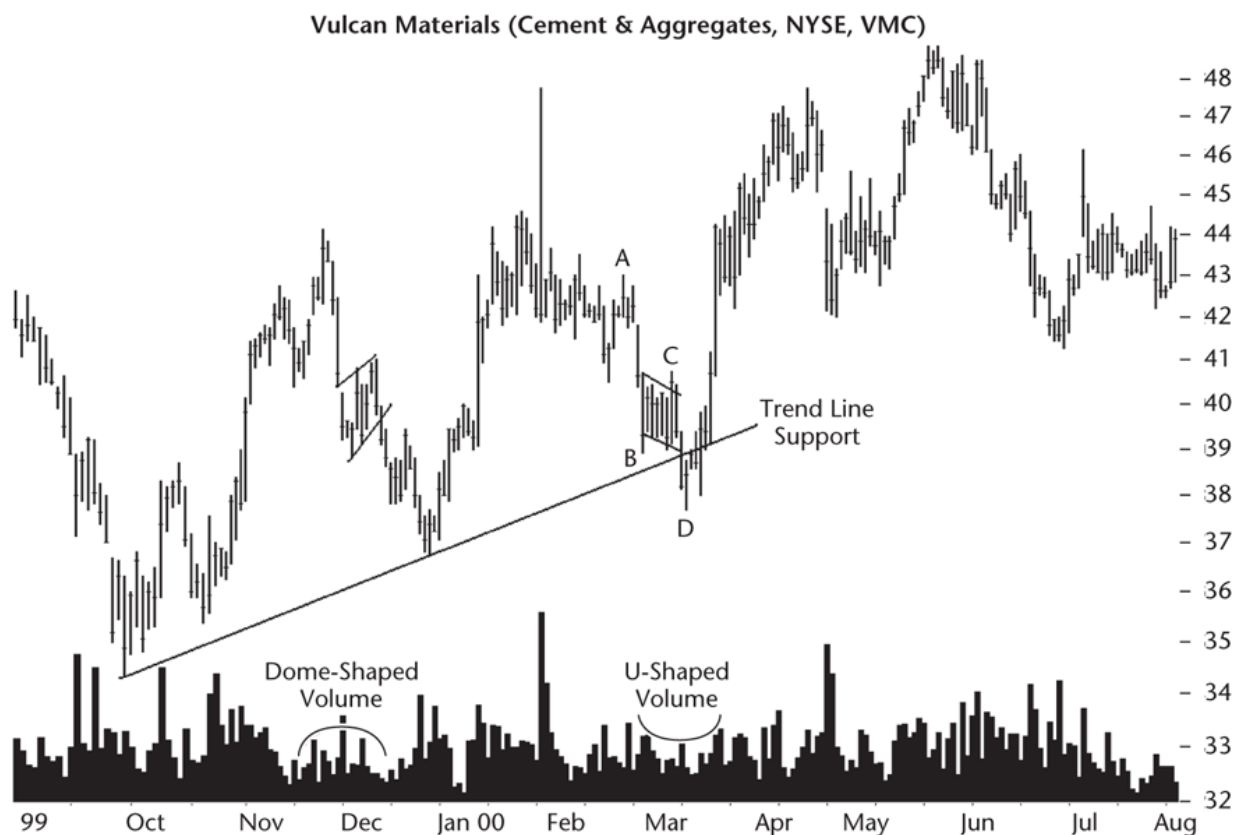


Figure 34.5 The AB run is longer than CD, meaning that the measure rule fails in this example. Support beneath the flag stops the decline.

Figure 34.5 shows a more common failure, one of performance. The decline in the February flag begins at A, 43, and ends at B, 38.90, for a run of 4.10. The decline from C to D measures 3.06. If flags were true half-staff patterns, the two runs would be about equal. Since this is but one example, the Results Snapshot shows that only about half the flags hit their price targets.

In this example, the flag has to chew through trendline support just beneath the flag. The dip is brief, as sometimes happens in trendline pierces, and price recovers only to surge upward, eventually making a new high. Also, the slide from A to B could be more robust (longer), like the down move leading to the November flag.

We'll see in [Table 34.11](#) that when a flag tilts with the price trend (downward in this case in a downward price trend), performance suffers. And that's what we see here with the ABCD pattern.